

Howard Marks

I was born in **1946 in New York City.**

My father worked in accounting, and numbers were always around the house. But truthfully, finance was not something I dreamed about as a child. The world of Wall Street felt distant and abstract.

What interested me more was **how systems worked**—how organizations made decisions, how markets behaved, and why people so often made the same mistakes over and over.

At the time, I didn't realize those curiosities would become the foundation of my career.

When I entered **University of Pennsylvania**, I studied finance at the **Wharton School.**

Finance seemed logical and structured. Markets looked like puzzles waiting to be solved.

After graduating, I continued my studies at the **University of Chicago Booth School of Business.**

Chicago was an interesting intellectual environment.

The professors there believed strongly in **efficient markets**—the idea that prices already reflect all available information.

According to that theory, beating the market consistently should be nearly impossible.

But something about that conclusion bothered me.

Because when I looked at real markets, I saw something different.

Markets were not purely rational machines.

They were **collections of human beings**, and human beings were emotional.

That observation would shape everything that followed.

My professional life began at **Citibank** in the late 1960s.

I started as an equity research analyst.

At first, I focused on analyzing companies and industries. But gradually I realized something important.

Most investors were looking in the **same places**.

They chased popular stocks, fashionable industries, and whatever was currently exciting.

This created a strange pattern.

The most crowded investments often had the **lowest future returns**.

The neglected areas of the market often held the **best opportunities**.

That insight pushed me toward an unusual corner of finance.

Eventually I moved into the world of **distressed securities**.

These are the bonds or loans of companies that are in trouble.

Most investors avoid them.

They look ugly. They look risky. They look complicated.

But I began to realize something.

When everyone else is afraid, prices often fall **below intrinsic value**.

That creates opportunity.

The key is understanding the difference between **temporary distress and permanent destruction**.

That distinction became the core of my investment philosophy.

In **1995**, several colleagues and I founded **Oaktree Capital Management**.

Our mission was simple but unusual.

We did not try to be the most aggressive investors.

Instead we focused on **risk control**.

I had come to believe something very important:

The goal of investing is not to maximize returns.

The goal is to achieve attractive returns **while surviving difficult periods**.

Markets move in cycles.

Sometimes investors become too optimistic.

Sometimes they become too pessimistic.

The job of an investor is to recognize **where we are in that cycle.**

Over decades of observing markets, I became fascinated with cycles.

Credit cycles.

Economic cycles.

Psychological cycles.

Eventually I wrote extensively about them in **Mastering the Market Cycle.**

The idea is simple but powerful.

Investors move between two emotional extremes:

1. **Fear**
2. **Greed**

When greed dominates, asset prices rise too high.

When fear dominates, prices fall too low.

An intelligent investor must resist the crowd and remain **emotionally balanced.**

For many years I began writing internal notes to our clients.

They were simply called "**memos.**"

I tried to explain what I was seeing in markets and how I was thinking about risk.

Eventually these memos became widely circulated.

Some of them were later compiled into the book **The Most Important Thing.**

In those writings I tried to explain the principles that guided my thinking.

Not formulas.

Not predictions.

But **ways of thinking.**

One concept became central to my philosophy.

I call it **second-level thinking**.

First-level thinking is simple.

Example:

"Company X is good. Buy the stock."

Second-level thinking goes deeper.

It asks:

- What does the market already believe?
- Is the company better or worse than expectations?
- What scenario is already priced in?

Investment success often comes not from being right about a company, but from being **more right than the consensus**.

Over the years I developed a deep respect for risk.

The dangerous thing about risk is that it often hides during good times.

When markets rise steadily, people assume they are skilled.

But what they are often experiencing is simply **favorable conditions**.

Real risk only becomes visible during crises.

That is why my philosophy always emphasized **defense first**.

Avoid catastrophic losses.

Then let compounding do the rest.

One of the greatest tests of this philosophy came during the **Global Financial Crisis**.

Financial markets were collapsing.

Credit markets froze.

Fear dominated everything.

But in that environment we saw extraordinary opportunities.

Companies with solid long-term prospects were trading at distressed prices.

Oaktree invested billions during that period.

Those investments later produced some of the best returns in the firm's history.

If I have learned one thing in my career, it is this:

Markets are driven as much by **psychology** as by fundamentals.

Investors constantly swing between:

- overconfidence
- panic
- euphoria
- despair

Understanding those emotional waves is essential.

You cannot control the cycle.

But you can recognize where you stand within it.

Over the years I found intellectual inspiration from many investors.

One of the most influential was **Charlie T. Munger**.

His emphasis on multidisciplinary thinking resonated deeply with me.

Another figure I admired was **Warren Buffett**.

Both men demonstrated that patience and rationality could outperform excitement and speculation.

Their influence helped reinforce my own belief in **discipline and long-term thinking**.

When I reflect on my career, I realize something interesting.

I never believed investors could consistently predict the future.

Forecasting is tempting, but it is rarely reliable.

Instead, I focused on **preparing for different possibilities**.

Understanding where we are in the cycle.

Controlling risk.

Being patient when others are impatient.

And being bold when others are fearful.

If I had to summarize everything I learned in investing, it would be this:

Success does not come from brilliance alone.

It comes from:

- discipline
- emotional control
- awareness of cycles
- deep understanding of risk

Markets will always fluctuate between extremes.

The investor who survives and prospers is the one who **remains thoughtful when everyone else becomes emotional.**

Charlie T. Munger

I arrived in the world on **January 1, 1924**, in Omaha, Nebraska.

The country was not yet aware of the storm that was coming, but it was close. Soon the **Great Depression** would sweep across America.

Omaha was not a glamorous place. It was a practical place. People worked, saved, and worried about tomorrow.

My father was a lawyer—disciplined, rational, serious. From him I inherited a respect for logic. Our household valued **clear thinking and self-reliance**.

From early childhood, I noticed something about the world:

most people did not think very carefully.

That fascinated me.

As a teenager, I worked at a grocery store owned by **Ernest P. Buffett**.

At the time it meant nothing special.

I stocked shelves, dealt with customers, and observed people.

People behave predictably when money is involved.

They respond to **incentives**.

Years later, that little grocery store would become an odd coincidence in history. The grandson of that grocer—**Warren Buffett**—would become my closest intellectual partner.

But in those days, he was just a kid somewhere in Omaha.

When the **Second World War** began, the world tilted on its axis.

I joined the Army Air Corps.

Because I had a mathematical bent, the military trained me in **meteorology** at **California Institute of Technology**.

Meteorology is an interesting science.

Weather cannot be predicted perfectly.

But it can be predicted **better than random**.

That lesson stayed with me.

Much later, when I looked at markets and investments, I saw the same principle.

Life is **probabilistic**.

You cannot eliminate uncertainty.

But you can improve the odds.

After the war, I somehow managed to get admitted to **Harvard Law School**, even though I had never finished an undergraduate degree.

Harvard sharpened my mind.

Law forces you to do something valuable:

You must argue **both sides of every issue**.

You cannot simply believe something because you like it.

You must test it.

Years later I would describe a powerful thinking method:

"Invert, always invert."

Instead of asking how to succeed, ask:

How do people fail?

Avoid those behaviors.

You will do surprisingly well.

After law school I moved to California and started practicing law.

Eventually I co-founded the firm **Munger, Tolles & Olson**.

The firm did well. My career was respectable.

But life has a way of humbling you.

My first marriage failed.

Then something worse happened.

One of my young sons died from leukemia.

There are events in life that strip away illusions.

That tragedy did exactly that.

I realized something simple and uncomfortable:

The universe does not promise fairness.

Once you understand that, you stop expecting the world to behave kindly.

Instead, you try to behave **wisely**.

In **1959**, a mutual friend introduced me to a young investor named **Warren Buffett**.

We talked for hours.

We laughed a lot.

But more importantly, we recognized something unusual.

Our minds worked in similar ways.

We both distrusted:

- financial fads
- conventional wisdom
- excessive complexity

Warren had studied under **Benjamin Graham** and was following Graham's strategy: buying extremely cheap companies.

But I had a different intuition.

Cheap businesses often remain cheap for a reason.

Great businesses, however, can **compound wealth for decades**.

So I told Warren something that would later be quoted endlessly:

It is far better to buy a wonderful business at a fair price than a fair business at a wonderful price.

Fortunately for both of us, he listened.

In the early 1970s we encountered a company called **See's Candies**.

It sold boxed chocolates.

At first glance it seemed overpriced.

But I saw something deeper.

People **loved** See's.

Every Christmas and Valentine's Day they bought the same chocolates.

The brand had something rare: **pricing power**.

If the company raised prices slightly, customers would still come.

We bought it.

That investment taught a lesson that shaped the rest of Berkshire's history.

A great business with a durable advantage can produce extraordinary returns over time.

Eventually I became Vice Chairman of **Berkshire Hathaway**.

Warren handled most of the capital allocation.

My role was different.

I tried to shape **how we thought**.

Investing is not just about numbers.

It is about understanding the world.

Businesses exist inside complex systems.

To understand them properly, you need knowledge from many fields.

I began explaining an idea that had been forming in my mind for years.

The idea was simple.

Most people try to understand the world using **one discipline**.

Economists use economics.

Engineers use engineering.

But reality does not care about academic boundaries.

So I built what I called a **latticework of mental models**.

You borrow the most useful ideas from many disciplines:

- psychology
- physics
- mathematics
- biology
- economics
- engineering

When these models connect, your thinking becomes much stronger.

Without them, people fall into predictable errors.

Over decades I observed how people make mistakes.

Patterns emerged.

Humans are influenced by psychological tendencies.

I eventually described **25 of them** in a lecture called *The Psychology of Human Misjudgment*.

For example:

People respond strongly to **incentives**.

They follow the crowd because of **social proof**.

They ignore evidence that contradicts their beliefs due to **confirmation bias**.

Once you see these patterns, you start recognizing them everywhere.

Markets. Politics. Business.

Human behavior repeats itself endlessly.

People often asked me for the secret to success.

The truth disappointed them.

I never believed brilliance was the main factor.

My philosophy was much simpler:

Avoid stupidity.

Most disasters come from obvious mistakes:

- excessive leverage
- bad incentives
- overconfidence

- ignoring risk

If you consistently avoid those traps, life tends to work out reasonably well.

Warren and I rarely made big decisions.

But when we did, they mattered.

Our approach was simple:

Wait for rare opportunities.

When they appear, act decisively.

This is how we invested in companies like:

- Coca-Cola Company
- American Express
- Apple Inc.

The world rewards **patience combined with preparation.**

People sometimes ask how I developed my thinking.

The answer is boring.

I read.

Constantly.

Across disciplines.

History, psychology, engineering, physics.

In my entire life I have never known a wise person who did not read widely.

Knowledge compounds just like money.

As I grew older, people began treating me as some sort of intellectual figure.

That always amused me.

I was simply trying to understand how the world works.

Even in my nineties I continued reading and thinking.

I watched markets grow more speculative.

I saw bubbles appear again and again.

Human nature had not changed.

It never does.

If I were to summarize my life's philosophy, it would be this:

Develop a mind that is **rational, curious, and disciplined.**

Study many fields.

Avoid foolish behavior.

And remember something important:

The world does not reward activity.

It rewards **good judgment.**

Napoleon Bonaparte

I was born on **August 15, 1769**, on the island of **Corsica**.

Only a year earlier, my homeland had been conquered by **France**.

I grew up in a place that was neither fully French nor fully independent. My family belonged to the minor Corsican nobility, but we were far from wealthy.

As a child I spoke **Italian and Corsican**, not French. When I first arrived in mainland France, my accent marked me as an outsider.

The other boys mocked me.

But I had already learned something important:

Outsiders often see the world more clearly.

At nine years old I was sent to study in France.

Eventually I enrolled at **École Militaire**, the prestigious military academy in **Paris**.

I was not popular.

I was quiet. Serious. Obsessed with reading.

While other boys socialized, I devoured books about:

- mathematics
- history
- military campaigns

I studied the great commanders:

- **Alexander the Great**
- **Julius Caesar**

From them I learned something crucial.

Great leaders do not merely react to events.

They **shape events**.

When I graduated from the academy, I became an artillery officer in the French army.

Artillery suited me.

It required **mathematics, precision, and timing.**

While cavalry officers relied on glory and courage, artillery required calculation.

This discipline shaped my mind.

War, like life, is a game of **position and probability.**

Then history intervened.

In **1789**, the **French Revolution** erupted.

The old aristocratic order collapsed.

For ambitious young officers like me, opportunity suddenly appeared.

The revolution destroyed the traditional hierarchy of the army.

Advancement now depended on **ability**, not birth.

I was ready.

In **1793**, the city of **Toulon** rebelled against revolutionary France and invited British forces to occupy its harbor.

The government sent the army to retake the city.

I was a young artillery officer then.

But I saw something others did not.

The key to Toulon was not the city.

It was the **harbor heights** controlling British ships.

I repositioned the artillery accordingly.

The attack succeeded.

Toulon fell.

Suddenly, the unknown Corsican officer became **General Bonaparte.**

In **1795**, royalists attempted to overthrow the revolutionary government in **Paris.**

I was ordered to defend the government.

The rebels marched toward the city.

I placed artillery along the streets.

When the royalists advanced, we fired.

The crowd collapsed.

Later people called it **"a whiff of grapeshot."**

That moment saved the revolutionary government.

It also made me famous.

Soon I was given command of the French army in **Italy**.

The army I inherited was starving, poorly equipped, and demoralized.

I addressed the soldiers:

"You are naked and ill-fed. I will lead you into the most fertile plains in the world."

We moved quickly.

Speed became my weapon.

The Austrian armies expected slow movements and formal battles.

Instead, I maneuvered rapidly, dividing enemy forces and defeating them one by one.

Within a year, we had shattered Austria's control over northern Italy.

Europe began to notice my name.

Ambition grows quickly once success begins.

In **1798**, I launched an expedition to **Egypt**.

My dream was strategic.

If France controlled Egypt, we could threaten Britain's trade routes to India.

But the campaign was mixed.

We won victories on land, including the **Battle of the Pyramids**.

Yet the British fleet under **Horatio Nelson** destroyed our ships in the **Battle of the Nile**.

I realized something.

To rule the world, one must control the sea.

And Britain controlled the sea.

France was unstable.

Political chaos dominated Paris.

In **1799**, I returned from Egypt and seized power through a coup known as the **Coup of 18 Brumaire**.

I became **First Consul of France**.

My goal was simple.

France needed **order**.

For several years I focused on rebuilding the nation.

I introduced reforms that would outlive me:

- the **Napoleonic Code**
- modern administrative systems
- educational reforms
- a national bank

France became efficient and centralized.

But ambition remained.

In **1804**, I crowned myself **Emperor of France**.

Yes, I crowned myself.

I refused to let the church claim authority over my rule.

France had replaced kings with a new empire.

And I was its master.

The next decade became a storm of war.

My armies defeated coalitions across Europe.

Victories followed one after another:

- the **Battle of Austerlitz**

- the **Battle of Jena-Auerstedt**
- the **Battle of Wagram**

At the height of my power, most of continental Europe lay under my influence.

Kings bowed.

Empires trembled.

I believed I was reshaping the continent.

But power invites overconfidence.

In **1812**, I invaded **Russia**.

My army was enormous—over **600,000 soldiers**.

But Russia did not fight the way I expected.

They retreated deeper into their territory, burning supplies behind them.

Then winter came.

The cold destroyed my army more effectively than any enemy.

Only a fraction of my soldiers returned.

That campaign shattered the illusion of invincibility.

After Russia, my enemies united.

In **1814**, they entered Paris.

I was forced to abdicate.

They exiled me to the island of **Elba**.

For a moment, the emperor became a prisoner.

But I was not finished.

I escaped Elba and returned to France.

Soldiers sent to arrest me instead joined my army.

For **one hundred days**, I ruled again.

But the final battle awaited.

In **1815**, I faced the British and Prussian armies at the **Battle of Waterloo**.

It was a brutal contest.

Rain slowed our movements.

Prussian reinforcements arrived.

The battle turned.

And the empire ended.

This time my enemies sent me far away—to the island of **Saint Helena** in the Atlantic Ocean.

There was no escape.

There, I spent my final years reflecting on everything.

The victories.

The ambition.

The mistakes.

History will debate my legacy forever.

Was I a tyrant?

A reformer?

A conqueror?

Perhaps I was simply a man who understood something fundamental about power:

Fortune favors **speed, boldness, and preparation**.

But even the greatest ambition must bow to **time and circumstance**.

Empires rise.

Empires fall.

Only history remains.

Ruchir Sharma

I was born in 1974 in India, into a country that was still finding its economic identity.

At the time, India was not the fast-growing story the world talks about today.

It was slower. More controlled. More uncertain.

From an early age, I was curious about how countries grow.

Not just companies—but entire nations.

Why some rise.

Why others stagnate.

That question stayed with me.

I studied at Shri Ram College of Commerce in Delhi.

It was one of the few places where discussions about economics felt alive.

But what fascinated me was not theory alone.

It was reality.

Because I noticed something early:

Economics in textbooks looked clean.

But in the real world, it was messy.

Full of politics, incentives, and human behavior.

That gap between theory and reality became my playground.

My career began at Morgan Stanley in the 1990s.

At the time, emerging markets were not fashionable.

They were considered risky, unstable, unpredictable.

But that is precisely what attracted me.

Because I had started to see a pattern:

The most ignored places often held the greatest opportunities.

Over time, I began traveling extensively.

Not occasionally—but constantly.

Dozens of countries every year.

I walked streets, spoke to local business owners, policymakers, investors.

I wanted to understand economies from the ground level—not from spreadsheets alone.

Because numbers tell you what happened.

But people tell you what is about to happen.

Gradually, I developed a framework.

I realized something simple but powerful:

Economic growth is not permanent.

Countries, like markets, move in cycles.

Rising → peaking → slowing → reforming → rising again

But most investors assume the opposite.

They believe:

Fast-growing countries will keep growing forever.

That belief creates bubbles.

I saw it again and again.

In the early 2000s, emerging markets were booming.

Capital was flowing everywhere.

Countries like Brazil, Russia, India, China were seen as unstoppable.

But I became cautious.

Because I had learned something important:

When a story becomes too popular, expectations become too high.

And when expectations are too high, reality disappoints.

This thinking led me to write my first major book,

Breakout Nations

In it, I tried to explain a simple idea:

Not all emerging markets are equal.

Some countries are about to accelerate.

Others are about to slow down.

The key is identifying which is which.

Over time, I developed indicators to evaluate countries.

Not complex models.

Simple signals.

Things like:

- Is credit growing too fast?
- Is the currency overvalued?
- Are reforms happening—or stalling?
- Is the country dependent on one sector?

Because complexity often hides risk.

Simplicity reveals it.

Eventually, I became Chief Global Strategist at Morgan Stanley.

My role was not to predict the future.

It was to interpret the present better than others.

That distinction matters.

Because prediction creates overconfidence.

Understanding creates preparedness.

One of the most important lessons I learned was this:

The biggest risks are not visible in data.

They are visible in narratives.

When everyone believes the same story—

that is when you should be most careful.

Later, I wrote another book,

The Rise and Fall of Nations

In it, I expanded my thinking beyond markets.

I asked:

What makes nations succeed over long periods?

The answer was not what most people expect.

It is not just:

resources

population

or even technology

It is discipline.

Countries fail when they:

- accumulate too much debt
- stop reforming
- become complacent after success

Success carries the seeds of failure.

Over the years, I noticed something striking.

The world constantly searches for the “next big thing.”

The next China.

The next economic miracle.

But these rarely exist.

Because growth is not linear.

It is cyclical.

And mean reversion is powerful.

Fast growers slow down.

Slow growers reform and rise.

If there is one principle that defines my thinking, it is this:

Avoid consensus.

Not blindly—but thoughtfully.

Because consensus is already priced in.

And once something is priced in,

the upside disappears.

I also learned the importance of humility.

Countries are complex systems.

They are influenced by:

politics

culture

history

geography

No model can fully capture that.

So instead of certainty, I focus on probabilities.

When I reflect on my journey, I see a consistent thread:

Curiosity about how the world works.

Not just markets.

But systems.

And the realization that:

The world is not stable.

It is constantly shifting.

If I had to summarize my philosophy, it would be this:

Do not chase growth.

Understand it.

Do not trust narratives.

Test them.

Do not follow the crowd.

Observe it.

And remember:

The biggest opportunities often appear

where confidence is lowest

and expectations are minimal.

Warren Buffett

I was born in 1930 in Omaha, Nebraska.

The world was entering the Great Depression.

Money was scarce.

Uncertainty was everywhere.

But from a very young age, I was fascinated by one thing:
numbers.

Not in an abstract way.

In a practical way.

How money grows.

How businesses make profits.

How small amounts can turn into large ones over time.

My father was a stockbroker and later a congressman.

Through him, I was introduced to markets early.

At the age of 11, I bought my first stock.

I made a small profit.

But I also learned an early lesson:

patience matters more than activity.

As a child, I tried many small ventures.

Selling newspapers.

Selling chewing gum.

Running pinball machines.

Each one taught me something simple:

A good business generates cash consistently.

That idea stayed with me.

I studied at the University of Nebraska-Lincoln.

But the real turning point came later.

I applied to study under Benjamin Graham at

Columbia Business School.

Graham changed how I thought about investing.

He introduced a powerful idea:

A stock is not just a price.

It is a piece of a business.

And every business has an intrinsic value.

Graham's philosophy was simple:

Buy businesses for less than they are worth.

He called it a "margin of safety."

That concept became my foundation.

After my studies, I worked at Graham's firm.

There, I practiced what he taught:

Buying statistically cheap companies.

Businesses that looked unattractive.

Ignored.

Out of favor.

It worked.

But over time, I began to notice something.

Cheap businesses often stayed cheap.

They lacked quality.

They lacked durability.

This realization deepened after my partnership with
Charlie T. Munger.

Charlie influenced me in a profound way.

He shifted my thinking from:

"Buy cheap businesses"

to

"Buy great businesses at fair prices."

In the 1960s, I took control of a struggling textile company
called

Berkshire Hathaway.

At the time, it was not a great business.

In fact, it was a mistake.

But it became a vehicle.

A platform to invest in other businesses.

Over time, Berkshire evolved.

We began acquiring companies with strong fundamentals.

Businesses like:

- Coca-Cola Company
- American Express
- Apple Inc.

These were not just companies.

They were franchises.

They had something special:

durable competitive advantages

I began to understand what makes a great business.

It is not just growth.

It is:

- pricing power
- strong brand
- consistent demand
- high return on capital

And most importantly:

predictability

My approach became simpler over time.

I stopped trying to forecast markets.

Instead, I focused on:

understanding businesses

assessing management

waiting for the right price

One idea became central to everything I did:

compounding

Money grows over time.

But only if you avoid major losses

and allow time to work.

This led to another principle:

Do not lose money.

Not literally—but philosophically.

Avoid permanent loss of capital.

Because recovery from large losses is difficult.

People often think investing is about intelligence.

I disagree.

It is about temperament.

The ability to remain rational when others are not.

Markets are emotional.

They swing between:

fear

greed

An investor must remain steady.

Over the years, I rarely made frequent decisions.

I waited.

Sometimes for years.

Because I realized something important:

Opportunities are rare.

But when they appear, they are obvious—

if you are prepared.

One of the biggest tests came during crises.

When markets fell sharply.

During those times, fear dominated.

But those were also the moments when

great businesses became available at attractive prices.

That is when I acted most aggressively.

I also believed in simplicity.

I stayed within my “circle of competence.”

If I did not understand a business,

I did not invest in it.

No matter how attractive it seemed.

Over time, people began to associate me with success.

But when I look back, I see something different.

A series of simple ideas applied consistently:

- Think long term
- Buy quality

- Avoid risk
- Stay rational
- Let compounding work

I also learned the importance of integrity.

Reputation builds slowly.

And can be destroyed quickly.

In business and in life, trust matters.

If I had to summarize my philosophy, it would be this:

Invest as if you are buying the entire business.

Be patient.

Ignore noise.

Focus on value.

And remember:

The market is there to serve you,

not to guide you.

Most of the time, it offers distractions.

Occasionally, it offers opportunity.

Your job is to know the difference.

George Soros

I was born in 1930 in Budapest, Hungary.

My childhood was shaped by instability.

War.

Occupation.

Uncertainty.

During the World War II, my family lived under Nazi rule.

Survival required adaptability.

We changed identities.

We avoided attention.

From a young age, I learned something fundamental:

Reality is not stable.

It can change suddenly—and violently.

That lesson never left me.

After the war, Hungary fell under communist control.

Freedom was limited.

Opportunity was constrained.

So I left.

I moved to England and studied at the

London School of Economics.

There, I encountered a philosopher who would shape my thinking deeply:

Karl Popper

Popper argued something powerful:

Human understanding of the world is always imperfect.

We operate with incomplete knowledge.

We make decisions based on flawed assumptions.

That idea became the foundation of my philosophy.

When I entered financial markets, I did not see them as efficient.

I saw them as reflexive.

This led me to develop my central concept:

Reflexivity

Markets do not simply reflect reality.

They influence it.

Investor beliefs affect prices.

Prices affect fundamentals.

Fundamentals then reinforce or contradict beliefs.

It is a feedback loop.

For example:

If investors believe a company will succeed,
they buy its stock.

The price rises.

That rising price makes it easier for the company to raise
capital.

The company grows faster.

The belief becomes reality.

But the reverse is also true.

Negative beliefs can destroy value.

This insight shaped how I approached investing.

I did not try to find equilibrium.

I tried to find imbalance.

Situations where perception and reality were diverging.

Because that is where the biggest opportunities exist.

I eventually founded

Soros Fund Management

My approach was different from traditional investors.

I was willing to take concentrated positions.

When I had conviction, I acted decisively.

One of the most famous moments of my career came in 1992.

At the time, the British pound was part of the European Exchange Rate Mechanism.

The system tried to keep currencies within fixed ranges.

But I saw a flaw.

The pound was overvalued.

The economic reality did not support its fixed exchange rate.

So I made a large bet against it.

This led to

Black Wednesday

The British government was forced to withdraw the pound from the system.

The currency collapsed.

My fund made over a billion dollars.

People later said I had "broken the Bank of England."

But in reality, I had identified a mismatch between perception and reality.

Over time, I became known for macro investing.

I focused on:

currencies

interest rates

global economic trends

Because I believed markets are interconnected.

You cannot understand one part without understanding the whole system.

But my philosophy extended beyond investing.

I believed open societies are essential for progress.

Societies where:

people can think freely

institutions can be questioned

power can be challenged

This led me to establish the

Open Society Foundations

Through it, I supported education, democracy, and freedom around the world.

One of the most important principles I followed was this:

Admit when you are wrong.

Markets constantly test your assumptions.

If you cling to your beliefs, you lose.

So I paid attention to something unusual:

my own discomfort

When a position felt wrong,

I reduced it or exited.

I also rejected the idea of perfect prediction.

The future is uncertain.

But uncertainty creates opportunity.

Because most people seek certainty.

And when they think they have found it,
they become vulnerable.

If I reflect on my life, I see a consistent theme:

Fallibility

Humans are flawed.

Their understanding is incomplete.

Markets amplify those flaws.

If I had to summarize my philosophy, it would be this:

Markets are not rational.

They are shaped by perception.

Perception influences reality.

Reality reshapes perception.

And within that loop lies opportunity.

To succeed, you must:

question your assumptions

recognize when the crowd is wrong

act decisively when conviction is high

and change your mind when reality changes

Because in an uncertain world,

The greatest advantage is not certainty.

It is adaptability.

Jeff Bezos

I was born in 1964 in Albuquerque, New Mexico.

My beginnings were not extraordinary.

But my curiosity was.

From a young age, I liked building things.

Not just physically—but conceptually.

I wanted to understand how systems worked.

As a child, I spent summers on my grandfather's ranch.

He taught me something practical:

Solve problems yourself.

Fix what is broken.

Figure things out.

That mindset stayed with me.

I studied electrical engineering and computer science at
Princeton University

At the time, technology was evolving rapidly.

The internet had not yet become mainstream.

But I sensed something:

The world was about to change.

After graduating, I worked on Wall Street.

I joined firms like

D. E. Shaw & Co.

It was an intellectually intense environment.

Data-driven.

Analytical.

Forward-looking.

There, I encountered a statistic that changed my life:

Internet usage was growing at over 2,000% per year.

That was not normal growth.

That was exponential.

I began to think differently.

When something grows that fast,

it creates entirely new opportunities.

So I asked a simple question:

What kind of business could be built on top of that growth?

The answer became

Amazon

I started it in 1994.

Not in a glamorous office.

In a garage.

The original idea was simple:

sell books online.

Books were ideal:

millions of titles

standardized products

easy to ship

But from the beginning, I was not building a bookstore.

I was building infrastructure.

A system.

A platform that could sell anything.

In the early years, Amazon was not profitable.

In fact, it lost money.

Many people thought the model would fail.

But I was focused on something different:

long-term value

I made a decision that shaped everything:

Prioritize customer experience over short-term profits.

That meant:

lower prices

fast delivery

wide selection

If you obsess over customers,

everything else follows.

This led to a principle I often repeated:

customer obsession

Not competitor obsession.

Not profit obsession.

Customer obsession.

As Amazon grew, we expanded into new areas:

electronics

cloud computing

logistics

digital services

One of the most important innovations became

Amazon Web Services

At the time, it was not obvious.

Why would a retail company build cloud infrastructure?

But I saw something others didn't:

Every company would eventually need computing power.

AWS became one of Amazon's most profitable businesses.

I also embraced experimentation.

At Amazon, failure was not avoided.

It was expected.

Because innovation requires it.

If you are not failing,

you are not trying hard enough.

Another principle guided my thinking:

Day 1

I often said:

"It is always Day 1."

Day 1 means:

stay hungry

stay curious

avoid complacency

Because Day 2 is different.

Day 2 is:

stagnation

irrelevance

decline

Over time, Amazon became one of the largest companies in the world.

But scale brings new risks.

Bureaucracy.

Slowness.

Loss of innovation.

So I focused on maintaining speed.

Because in business,
speed is often a competitive advantage.

Later, I turned my attention to space.

I founded

Blue Origin

My vision was long term.

Very long term.

Millions of people living and working in space.

It may sound distant.

But so did the internet once.

If there is one thread through my life, it is this:

Think long term.

Most people optimize for the short term.

Quarterly results.

Immediate gains.

But real value is built over decades.

I also believe in making decisions with limited information.

If you wait for certainty,

you move too slowly.

So I followed a simple rule:

Make decisions when you have about 70% of the information.

Then adapt as you learn more.

When I reflect on everything, I see a few core ideas:

Focus on the future.

Ignore noise.

Build systems, not just products.

Take calculated risks.

And stay relentlessly curious.

If I had to summarize my philosophy, it would be this:

The world changes faster than you expect.

Opportunities come from recognizing those changes early.

Build for the long term.

Obsess over what truly matters.

And remember:

Big outcomes often begin

as small, misunderstood ideas.